in March 2024 on the alleged Adani bribery issue and launched a probe, since the act amounted to hiding facts from investors. Sebi, which is part of the Asia Pacific Regional Committee of the International Organisation of Securities Commissions, could have contacted the US Justice Department or the SEC, they say. Those agencies would have then shared information on the case with Sebi. Some legal experts familiar with the US SEC cases say a sitting judge has to approve the grand jury investigations. Once the defendants (Adani and others) have a chance to present their version of the story and witnesses, a second jury will hear the case, and may hold a different view. Since the defendants are not in the US, they could make a formal extradition request to the Indian government under the bilateral agreement, seeking their presence in trial proceedings. Meanwhile, the defence could enter into plea agreements or opt for a full-fledged defence of the case.

If India does not extradite the accused to the US, which is likely in this case, the defendants can have their lawyers represent them and later negotiate a settlement. On the civil side, the court could hold the defence in contempt, potentially leading to hefty fines. Experts say that while a bribery conviction is punishable by up to five years in prison, the SEC case could lead to a sentence of up to 20 years, though such lengthy terms are rarely served. In all likelihood, the case could drag on into 2026 or later.

"The indictment of several Indian companies and SECI raises disturbing concerns not only about large-scale corporate corruption that evidently prevails in India and the US but also how fraudulent policies adopted by the Union power ministry at the instance of favoured business conglomerates have defrauded electricity consumers across the country," says E.A.S. Sarma, former Union power and economic affairs secretary, who steers the civil society group People's Commission on Public Sector and Public Services. He points out how the power ministry "irregularly invoked its authority" under the Electricity Act, 2003, to impose an obligation on state utilities to buy power from solar plants to meet at least 10 per cent of their requirement, irrespective of unit cost and affordability. Sarma wants a comprehensive investigation under independent judicial oversight.

Others say it will be a long haul for the US prosecutors to prove the indictment. H.P. Ranina, Supreme Court lawyer, says the case will not stand in the US court if there is no solid evidence of the bribe passing hands: "The US courts require actual evidence to be established beyond a reasonable doubt." Hence, Adani cannot be charged in India solely based on what is said in the US. "It is still an allegation. If Sebi wishes to do so, it can make enquiries. The Adanis have said they have committed no wrong. If the deals were done through open tenders, where is the possibility of bribes arising?" Ranina asks, adding that it will be difficult to establish the money trail unless details of some bank transactions are accessed.

Things could also shift in Adani's favour with Donald Trump, who is said to maintain close relations with Modi, set to assume the US presidency in January 2025, say observers. The Adani Group has already committed to energy and infrastructure projects worth $10 billion (Rs 84,490 crore) in the US over the coming years, which will create 15,000 jobs.



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COLLATERAL DAMAGE

Experts say the Adani bribe saga could inflict a lot of collateral damage on the group, restricting their ability to raise foreign capital, according to a report by GQG Partners, a US-based investment management company that has an exposure of $8 billion to group firms (5.2 per cent of total assets). However, it adds that while the allegations are serious, there are many examples of global companies and their executives who have faced significant government action, including FCPA violations. Some notable examples include Walmart, Oracle, Thales, Siemens, Glencore, Petrobras, Pfizer, Toyota, Honeywell, Airbus and SAP. "These actions and investigations typically take years to resolve and may yield reduced penalties or fines. The companies continue to operate in the interim, looking to improve their business practices and moving their businesses forward," the report adds.

Moreover, the central government is likely to maintain its support for Gautam Adani as he is the most important infrastructure developer in the country by an order of magnitude. There are also no signs of domestic banks, especially India's government-owned ones, shutting off credit to the group. "The perception in the US is that the Centre is in a rush to execute infrastructure projects, and it is pushing some of the levers too hard. The government has seen in Adani the ability to create corporate structures and a balance sheet that will attract foreign investors," says a financial consultant.

Like he has in the past, Adani may yet again survive the latest allegations. But the controversy hardly does credit to India's image on the global stage at a time it aspires to be the world's third-largest economy. Only for that, an introspection may be in order. ■

–with Amarnath K. Menon, Rahul Norohna and Arkamoy Datta Majumdar